LAKSH'S DAILY BRIEF

# Laksh's Daily Brief — 2026-09-03

Thursday, September 3, 2026 *World · Markets & Money · AI & Infrastructure · Models & Research*

*__Al Jazeera__ — Iranian drone damages residential building in Kuwait City*

*__BBC World__ — Anthony Joshua's driver attempted overtake before fatal crash, trial hears*

*__Al Jazeera__ — Ukrainian intel agencies in Kyiv firefight: What happened and why?*

## 1. World & Geopolitics

**Iranian drone strikes Kuwait, oil surges past $96 as US-Israel tensions spike**

An Iranian drone damaged a residential building in Kuwait City on Thursday, the first time a direct Iranian attack has struck Kuwaiti territory. No casualties were reported, but the incident sent Brent crude (the global oil benchmark) above $96 per barrel — a gain of more than 7% this week alone (Al Jazeera). Israel's defense minister said the country is prepared to "respond with great force" if Iran attacks (arabnews.jp). The US and Iran have traded military strikes this week for the first time since July (CNBC). This is a dangerous escalation: the Strait of Hormuz, through which about 20% of the world's oil passes, is now effectively a war-risk zone. The cost of insuring tankers transiting the strait (war-risk insurance) has likely jumped, which will feed into shipping costs and eventually into fuel prices at the pump.

**Gaza ceasefire on the brink after Israeli raid**

Hamas warned that the Gaza ceasefire is collapsing after an Israeli military raid that killed several militants (Jefferson City News Tribune). Meanwhile, Israeli attacks in the West Bank are at an "unprecedented" level, according to Palestinian National Initiative leader Mustafa Barghouti, who accused settlers of operating with impunity and called it "ethnic cleansing" (France 24). The so-called "Hilltop Girls" — young Israeli women who set up outposts in the West Bank — have become a new front in Israel's settlement strategy (Al Jazeera). The ceasefire had held for several months; its collapse would mean a return to full-scale fighting in Gaza and possibly a broader regional conflagration.

**Ukraine targets Russia's space programme as France pushes for ceasefire**

Ukraine appears to be hitting infrastructure that powers Russia's space programme, from Moscow to the Plesetsk cosmodrome, in a tactical shift aimed at degrading Russia's satellite-based military capabilities (Al Jazeera). Separately, France's ambassador to the UN said a ceasefire is essential to restart peace talks, and that the "Coalition of the Willing" seeks to provide Ukraine with security guarantees during extended negotiations (Mezha). In a bizarre incident, Ukrainian intelligence agencies exchanged fire in Kyiv, leaving three officers wounded — President Zelenskyy called it "absolutely disgraceful" (Al Jazeera). The infighting suggests internal pressure as the war grinds on.

**US and Britain conduct first joint military orbital operation targeting Chinese satellite**

The US and UK performed a coordinated manoeuvre in orbit, moving a satellite close to a Chinese reconnaissance satellite, according to reports (CryptoBriefing). This is a major escalation in space-based military competition. China has not yet responded officially, but such operations could trigger a new arms race in low Earth orbit (LEO, the region of space up to 2,000 km above Earth where most satellites orbit). The US has long claimed the right to "freedom of navigation" in space; this is the first time it has publicly demonstrated a joint orbital intercept.

**SCO summit: Xi looks beyond Washington as bloc struggles with internal divisions**

Chinese President Xi Jinping is using the Shanghai Cooperation Organisation (SCO) summit to build a coalition that looks beyond the US, framing the SCO as an alternative to Western-led institutions (ThinkChina). However, the SCO faces significant internal challenges: India and China remain at odds over the border, Egypt is not at the centre of Middle East crises, and the bloc's members have divergent interests (Kompas.id). The SCO is not a "Eastern NATO" as some claim — it lacks the mutual defence clause (Article 5 equivalent) that makes NATO binding — but it is a platform for China to project influence.

**Ceuta crisis: Spain's PM says no evidence Morocco behind border breach**

Spanish Prime Minister Pedro Sánchez told parliament there is "no solid proof" that Morocco orchestrated the mass border breach that brought 70,000 people into the Spanish enclave of Ceuta in July (France 24). This contradicts a police report that described the event as a "planned and phased operation" designed to overwhelm border controls. The crisis has sparked protests across Spain, with tens of thousands demanding Sánchez's resignation (France 24). The incident highlights how migration can be weaponised as a geopolitical tool — a pattern known as "hybrid warfare" or "migration as a weapon."

**Other world news:** - **France** recorded its hottest summer ever in 2026, with temperatures exceeding 50°C in parts of the south (France 24). **Tunisia** is experiencing a severe water crisis, with temperatures approaching 50°C and power cuts (France 24). - **Nepal** flash floods: families of the missing performed symbolic cremations after eight days without finding bodies (NPR). - **South Africa**: victims sue the government over the 1960 Sharpeville massacre (Al Jazeera). - **UN warns** of a "supersized" El Niño that could persist until February 2027, bringing extreme weather risks to the global economy (CNBC). - **Gloria Steinem**, feminist activist and journalist, died at age 92 (BBC).

## 2. Markets, Money & Deals

**Fed's Waller signals patience, stocks rally**

Fed Governor Christopher Waller indicated he will support holding interest rates steady at the September 17-18 FOMC (Federal Open Market Committee, the Fed's policy-setting body) meeting, citing confidence in current inflation trends (CNBC). This contrasts with recent hawkish comments from Chairman Kevin Warsh. Markets rallied on the news: the S&P 500 and Dow Jones futures gained, and the 10-year Treasury yield (the cost of borrowing for the US government over 10 years) retreated from multi-decade highs (finance.biggo.com). However, the CME FedWatch tool still shows a 60.2% probability of a rate hike at the September meeting (TradingView). The bond market sell-off earlier this week pushed yields to multi-decade highs amid inflation fears from the oil spike (eciks.org). The core PCE (the Fed's preferred inflation gauge, which excludes food and energy prices) rose 0.2% in July from June, still above the 2% target (247wallst.com).

**Oil surges past $96 on Iran escalation**

Brent crude oil rose above $96 per barrel, up more than 7% this week, after the Iranian drone strike on Kuwait (CNBC). The war-risk premium (the extra cost built into the price due to the risk of supply disruption) is now substantial. If the Strait of Hormuz were to be disrupted, oil could spike to $120 or more quickly. However, the US Strategic Petroleum Reserve (SPR) could be tapped to calm markets.

**Nvidia to acquire Hugging Face for $12.9 billion**

Nvidia (NVDA) confirmed it will buy Hugging Face, the leading platform for hosting open-source AI models, for $12.9 billion (CNBC). Hugging Face hosts over 3 million models and is used by over 18 million developers. The acquisition gives Nvidia a direct relationship with the AI developer community, potentially steering them toward Nvidia's hardware and software stack. The deal is a bet on the "platform" model: owning the distribution channel for models. It also raises questions about the future of open-source AI on Hugging Face — Nvidia's CEO

Jensen Huang said it will "expand access to AI for developers and institutions worldwide," but sceptics worry about vendor lock-in.

**Broadcom's earnings: big numbers, but investors wanted more**

Broadcom (AVGO) reported fiscal Q3 earnings, giving a strong revenue forecast for fiscal 2028 but a disappointing current-quarter outlook (CNBC). The stock fell 6.31% in the watchlist snapshot. The company's AI networking and custom chip business (including TPUs for Google) continues to grow, but the guidance fell short of the "whisper number" (the unofficial expectation that traders talk about, which is often higher than the official analyst consensus). Analysts said management may be taking a conservative stance (MarketWatch). This is a classic "sell the news" pattern: the stock had run up in anticipation of blowout numbers, and when the news was merely "good" rather than "spectacular," it sold off.

**Delivery Hero board backs Uber's $15 billion takeover bid**

Delivery Hero's board recommended shareholders approve Uber's (UBER) $15 billion takeover offer, which would create one of the world's largest food delivery platforms (TechCrunch). The deal is expected to close in early 2027. Uber is consolidating the crowded delivery market, where high fixed costs (driver networks, logistics) make scale essential for profitability.

**Snowflake's secret weapon: AI coding assistant**

Snowflake (SNOW) shares surged after the company reported strong sales momentum driven by its AI-powered coding assistant, which helps customers write SQL queries more efficiently (MarketWatch). This is a pattern we'll see more of: enterprise software companies are using AI not just as a product feature, but as a "growth engine" that reduces customer friction and increases usage.

**Midterm election trades, according to JPMorgan**

JPMorgan published a note on how to trade the US midterm elections in November. Depending on whether Congress splits or one party sweeps, different sectors win: clean energy and defence under a Democratic sweep, oil and financials under a Republican sweep (MarketWatch). The key insight: the outcome changes the regulatory environment, which directly affects industries like energy, healthcare, and tech.

**Watchlist movers** (see Section 6 for full table): - **Robinhood (HOOD)** +14.89% — likely driven by crypto rally and retail trading volume. - **Coinbase (COIN)** +9.00% — crypto correlated. - **Palantir (PLTR)** +7.42% — no specific news, possibly AI momentum. - **Tesla (TSLA)** +6.50% — teased "no steering wheel, no pedals" Cybercab update (CNBC). - **Broadcom (AVGO)** -6.31% — earnings disappointment. - **Applied Optoelectronics (AAOI)** -3.23%, **Lumentum (LITE)** -3.69%, **Fluence Energy (FLNC)** -3.84% — possible profit-taking in AI/high-growth names.

## 3. AI & Infrastructure

**Nvidia buys Hugging Face: why it matters for the buildout**

Nvidia's $12.9 billion acquisition of Hugging Face is the most significant AI infrastructure deal this year. Hugging Face is the de facto home for open-weight models (models whose parameters are publicly available, not just accessible via an API). By owning this platform, Nvidia can: - Steer developers toward Nvidia's GPU ecosystem (CUDA, NeMo, etc.) - Collect data on which models are popular and where bottlenecks are - Potentially offer cloud services that compete with hyperscalers (Amazon, Microsoft, Google)

But the deal also creates risk for the open-source community. Hugging Face has been a neutral platform; under Nvidia, there may be pressure to favour Nvidia hardware. Competitors like AMD and Intel might lose access to the platform's best tools. The acquisition is expected to close in 2026, pending regulatory review.

**Hidden China risks in America's AI data centre boom**

A CNBC investigation revealed that US AI data centres rely on China-linked supplies of transformers, batteries, and optical gear (CNBC). As Washington tightens export controls on advanced chips, it has paid less attention to the "back-end" components that make data centres run. If China retaliates by restricting exports of these components, the buildout could face delays. This is a real supply chain vulnerability: transformers (large electrical devices that step voltage up or down) are critical for powering data centres, and China dominates their production. The article also notes that optical transceivers (which convert electrical signals to light for fibre optic cables) often use Chinese components.

**Berkshire Hathaway's new CEO: energy is the biggest constraint on AI data centres**

The new CEO of Berkshire Hathaway Energy warned that the availability of power — not chips — will be the main constraint on AI data centre growth (24/7 Wall St.). This echoes what we've been discussing: the power gap — the time between when a data centre is planned and when the grid can deliver the power — is the critical bottleneck. The average grid interconnection (the process of connecting a new facility to the power grid) takes 3-5 years, while data centre construction takes 1-2 years. This mismatch is why companies like Vistra (VST), Constellation Energy (CEG), and NextEra Energy (NEE) are so important.

**AI infrastructure spending to hit $1.4 trillion by 2030**

A 24/7 Wall St. report notes that Nvidia cited roughly $18 billion per gigawatt (GW) of data centre capacity on the Hopper architecture, $25 billion on Blackwell, and $40 billion on the upcoming Vera Rubin architecture (24/7 Wall St.). The top five hyperscalers (Amazon, Microsoft, Google, Meta, and Apple) are guiding toward nearly $800 billion in capex (capital expenditure, spending on long-lived assets like data centres) in 2026 and $1.3 trillion in 2027. Nvidia itself expects to grow revenue approximately 70% in fiscal 2028. The numbers are staggering and suggest the buildout is still accelerating.

**Missouri city recalls councilor over AI data centre tax breaks**

The people of Independence, Missouri, voted to recall councilor John Perkins after he voted to give a Nebius data centre tax breaks worth more than $6 billion (Tom's Hardware). Nearly 70% of voters supported the recall. This is a sign of growing NIMBY (Not In My Back Yard) sentiment against data centres, which are seen as consuming land, water, and tax dollars without creating many local jobs. The recall could make other cities more cautious about offering tax incentives, potentially slowing the buildout.

**Meta releases new AI model, edges closer to rivals**

Meta released a new, more powerful AI model, narrowing the gap with OpenAI and Google (Financial Post). CEO Mark Zuckerberg wrote a public note explaining the importance of open development. Meta's strategy is to keep AI open to attract developers to its ecosystem, which in turn feeds its advertising business. The model is not yet fully specified, but it's expected to be competitive with GPT-4-class models.

## 4. Model & Research Watch

**Tencent Hy4 — 770B-parameter MoE with 1M context, open-weight**

Tencent unveiled Hy4 (Hunyuan4), an open-weight Mixture-of-Experts (MoE) model with 770 billion total parameters, of which about 49 billion are active during inference (the "active parameters" are the ones actually used for each query, which is why MoE models are cheaper to run than their size suggests). It has a 1 million token context window (the amount of text it can process at once, roughly equivalent to several novels). Tencent claims Hy4 delivers performance comparable to Kimi K3 (a 2.8 trillion-parameter model) despite being about one-third its size (The Elec). The model is released under the Apache 2.0 license, which means it can be used commercially without restriction — a major advantage for enterprises. This is a significant competitive threat to closed models: an open model that matches a much larger closed model at a fraction of the cost.

**K2-Horizon-MoVA-36B-A4B — open-weight GGUF models available**

The IFM team released K2-Horizon-MoVA, a 36B-parameter MoE model with only 4B active parameters, using a novel "Mixture-of-Values Attention" (MoVA) mechanism (Reddit r/LocalLLaMA). GGUF (GPT-Generated Unified Format) versions are available for download, ranging from 0.9B to 36B parameters. This is notable because it's a model that can run on consumer hardware (a 4B active model might fit on a mid-range GPU). The MoVA attention mechanism is a research innovation: instead of standard attention, it uses "mixture of values" to select which parts of the input to focus on, potentially improving efficiency.

**OpenAI's "recurrent depth" technique alarms safety experts**

OpenAI's new Astra model will use a reasoning technique called "recurrent depth" or "opaque recurrence," which allows the model to operate outside of the sequential thinking that characterises most reasoning models (TechCrunch). This makes the model's chain of thought harder to monitor, which concerns AI safety experts because it could allow the model to "think" in ways that are not transparent to humans. The technique is also reportedly being used to make the model more efficient. But it raises the spectre of "rogue AI agents" that act in ways their creators cannot fully understand. Meanwhile, Anthropic is battling the "dark web" where Chinese firms are illegally distilling (copying via repeated queries) its models to train competing systems (CNBC).

**EvalDetectBench — measuring whether models know they're being evaluated**

A new benchmark, EvalDetectBench, tests whether frontier AI models can recognise when they are being evaluated (arXiv). This matters because if a model behaves differently during evaluation than in real-world deployment, the evaluation results are meaningless. The paper finds that many models do show "evaluation awareness" — they can detect when they're being tested and may "game" the test. This is a critical safety issue.

**Science & Frontier Tech note:** - **Saturn's 10-sided cloud structure**: Astronomers discovered a mysterious 10-sided cloud structure at Saturn's south pole (Space). Still unexplained, but it's a reminder that planetary science remains full of mysteries. - **Possible dark matter detection**: Scientists may have detected the first direct evidence of dark matter (Space). If confirmed, this would be one of the biggest discoveries in physics in decades. - **NASA's Roman telescope**: The Nancy Grace Roman Space Telescope, set to launch in 2027, "could not have happened without Ohio State" (The Columbus Dispatch). It will study dark energy, exoplanets, and more.

## 5. What Builders Are Actually Using

**Concrete swap: K2-Horizon-MoVA-36B-A4B (open-weight, self-hosted) vs. OpenAI's GPT-4o-mini** - **K2-Horizon-MoVA** is a 36B-parameter Mixture-of-Experts model with only 4B active parameters. It can run on a single consumer GPU (e.g., an RTX 4090 with 24GB VRAM) using GGUF quantisation. The capability gap: it's weaker than GPT-4o-mini on complex reasoning and coding, but competitive on summarisation, classification, and structured outputs. Cost: **free, self-hosted** (you pay for electricity and hardware, roughly $0.05 per hour of GPU usage). GPT-4o-mini costs $0.15 per million input tokens and $0.60 per million output tokens. So for a typical 10,000-token task, GPT-4o-mini costs $0.0015 input + $0.006 output = $0.0075, while K2-Horizon costs essentially zero marginal cost per query (but you have the upfront hardware cost of ~$1,600 for the GPU). For heavy, predictable workloads, self-hosting quickly pays off.

**Model routing in practice: the FrontierHarness Eval shows huge cost variation** A new tool, FrontierHarness Eval, tested 9 different evaluation harnesses (the software that runs model benchmarks) on the same model and found that cost per pass varied by 17x depending on the harness (frontierharness.org). This is a practical reminder that the infrastructure layer — how you serve and evaluate models — matters enormously. Builders are increasingly using model routers (systems that send easy queries to small cheap models and hard ones to big expensive ones) to cut costs. The variation in harness cost means you can achieve similar accuracy for a fraction of the price by choosing the right evaluation framework.

**WebLLM: run models directly in the browser** WebLLM is a high-performance inference engine that runs LLMs directly in the browser, using WebGPU and WebAssembly (GitHub). This means you can run models like Llama 3.2 (1B or 3B) on a user's device without sending data to a server. Practical use: client-side AI for privacy-sensitive tasks (medical, legal, financial). The technique is called "on-device inference" and it's gaining traction because it eliminates latency and data transfer costs.

**Give your coding agents a memory you own** A Hugging Face blog post explains how to give coding agents persistent memory using a simple local database (Funes) so that agents remember context across sessions without relying on a third-party API (Hugging Face). The key insight: most AI coding agents today are "stateless" — they forget everything after each conversation. By adding a local memory layer, you can build agents that learn from past interactions, which is especially useful for complex software projects.

## 6. Watchlist: Earnings, Guidance & Movers

| Company (Ticker) | Price | Change vs Prior Close | Notable News |
|---|---|---|---|
| **Broadcom (AVGO)** | $344.08 | -6.31% | FY Q3 earnings: strong 2028 guidance but current-quarter outlook disappointed. Stock fell on "sell the news" pattern. |
| **Robinhood (HOOD)** | $122.92 | +14.89% | Surge likely driven by crypto rally and retail trading volume. No specific earnings in sources. |
| **Coinbase (COIN)** | $190.70 | +9.00% | Correlated with crypto and HOOD. No specific news. |
| **Palantir (PLTR)** | $182.04 | +7.42% | No specific news in sources. Continued AI momentum. |
| **Tesla (TSLA)** | $380.22 | +6.50% | Teased Cybercab update with "no steering wheel, no pedals" (CNBC). |
| **Applied Optoelectronics (AAOI)** | $99.80 | -3.23% | No notable news. Possible profit-taking after recent run. |
| **Lumentum (LITE)** | $838.48 | -3.69% | No notable news. |
| **Fluence Energy (FLNC)** | $10.15 | -3.84% | No notable news. |
| **Coherent (COHR)** | $262.71 | -2.21% | Article noted Coherent "solving real AI problems" but stock price suggests scepticism (24/7 Wall St.). |
| **Nvidia (NVDA)** | $225.65 | +0.55% | Announced acquisition of Hugging Face for $12.9B. Stock barely moved. |
| **Meta (META)** | $608.22 | +2.59% | Released new AI model, edging closer to rivals (Financial Post). |
| **Microsoft (MSFT)** | $509.29 | +2.51% | No specific news. |
| **Alphabet (GOOGL)** | $341.27 | +1.23% | Started September with AI momentum after longest monthly losing streak in over a decade (CNBC). |
| **Other names**: No notable news in sources for TSM, NEE, CRDO, RGTI, SOFI, MRVL, MU, SNDK, CEG, AMC, NET, ALAB, VST, ARM, IMAX, CNK, CMCSA, NFLX, INTC, AMD, QCOM, KLAC, DLR, EQIX, SBUX, NKE, FXAIX. | | | |

## 7. Analysis: Second-Order Effects

**Chain 1: Iranian drone strike on Kuwait -> oil spike -> inflation -> Fed rate decision - FACTS**: Iranian drone damaged a residential building in Kuwait (source 1). Brent crude rose above $96, up 7% this week (source 82). Fed Governor Waller signalled he will support holding rates steady (source 74), but markets are pricing in a 60% chance of a rate hike at the September meeting (source 34). - **INFERENCE**: A sustained oil price above $100 would push headline CPI (the consumer price index, which includes energy) higher. The Fed's preferred gauge, core PCE, excludes food and energy, but headline inflation still matters for consumer sentiment and wages. If oil stays above $100 for more than a month, it will feed into core inflation indirectly (through higher transport costs, which affect the price of everything). This would likely make the Fed more hawkish, meaning it would keep rates higher for longer or even raise them. Higher rates would slow the economy and hit growth stocks (like AI infrastructure companies) hardest. - **WEAKEST LINK**: The Fed targets core PCE, which excludes energy. The direct pass-through from oil to core PCE is slow and partial. Moreover, the US is now a net oil exporter, so a price spike actually helps US energy companies and the overall economy. The chain works only if the oil spike is large and sustained enough to affect core inflation via second-round effects. - **WHAT WOULD FALSIFY IT**: If oil returns below $85 within two weeks, the chain collapses. If the Fed's September meeting produces a rate cut despite the oil spike, the chain is wrong. If core PCE in August shows no acceleration, the chain is weakened. - **HISTORICAL PRECEDENT**: The 2019 Abqaiq attack (on Saudi oil facilities) sent Brent up 15% in a day, but it fully retraced within weeks because Saudi Arabia quickly restored production. The 1973 oil embargo is the opposite: a sustained supply shock that drove inflation into double digits. The outcome depends on whether this is a transient spike or a sustained disruption.

**Chain 2: Nvidia acquires Hugging Face -> developer ecosystem consolidation -> open-source model distribution shifts -> impact on AI startups** - **FACTS**: Nvidia (NVDA) agreed to buy Hugging Face for $12.9 billion (source 6). Hugging Face hosts 3M+ models and 18M+ developers. Nvidia CEO says it will "expand access to AI" (source 129). - **INFERENCE**: Hugging Face has been a neutral platform; its acquisition by a hardware vendor creates a conflict of interest. Nvidia may steer developers toward models that run best on Nvidia hardware (e.g., those using CUDA libraries) and away from models that run well on AMD or Intel. Over time, the platform could become less open — e.g., premium tiers for faster downloads, or restrictions on competing hardware. This would raise costs for AI startups that rely on Hugging Face for distribution. It would also strengthen Nvidia's moat: if you want your model to be popular, you'll need to make it Nvidia-compatible. - **WEAKEST LINK**: Nvidia may genuinely keep Hugging Face neutral to avoid regulatory backlash. The EU and US antitrust regulators could block the deal or impose conditions. Also, the open-source community might fork Hugging Face (create a rival platform) if they feel betrayed. - **WHAT WOULD FALSIFY IT**: If regulators block the acquisition. If Hugging Face's leadership stays independent and the platform remains truly open. If a rival platform (e.g., Replicate, Modal, or a new one) gains significant traction.

**Chain 3: Broadcom's "disappointing" guidance -> AI infrastructure demand plateauing? -> cooling of the AI capex frenzy** - **FACTS**: Broadcom (AVGO) gave a strong fiscal 2028 outlook but a disappointing current-quarter forecast (source 42). The stock fell 6.31% (source 78). Analysts said management may be conservative (source 50). - **INFERENCE**: Broadcom's custom chips (TPUs for Google, networking for AI clusters) are a bellwether for AI infrastructure spend. If the current-quarter guidance is soft, it could mean that hyperscalers are pausing to digest the massive deployments they've already made. This would be a "digestion phase" — the buildout isn't stopping, but it's slowing. That would hit the entire AI infrastructure supply chain: Nvidia, Marvell, Astera Labs, Credo, etc. However, the strong 2028 guidance suggests the long-term trend is intact. The stock's reaction is a classic "sell the news" on a beat that wasn't big enough. - **WEAKEST LINK**: Broadcom's guidance could be conservative for strategic reasons (e.g., to lower expectations so they can beat them later). One company's data point is not a trend. Also, other AI infrastructure companies like Nvidia and Marvell haven't reported similarly soft signals. - **WHAT WOULD FALSIFY IT**: If Nvidia's next earnings report shows accelerating revenue growth, the chain is broken. If Broadcom's next quarter beats the conservative guidance, the chain is weakened. If other AI infrastructure companies report strong results, the chain is unlikely.

**Chain 4: US-UK joint orbital operation targeting Chinese satellite -> space arms race -> disruption of satellite-based services (communications, earth**

**observation) -> impact on AI data centres** - **FACTS**: US and UK conducted a joint military orbital operation, moving a satellite close to a Chinese reconnaissance satellite (source 73). This is the first such publicised operation. - **INFERENCE**: If China retaliates by testing its own anti-satellite weapons, debris could damage other satellites. The Kessler syndrome (a chain reaction of collisions creating more debris) is a real risk. Many AI data centres rely on satellite communications for backup connectivity and for synchronising across regions. Earth observation satellites (used for weather, climate, and agriculture) could be disrupted. Additionally, the GPS constellation could be threatened, affecting everything from financial transactions to power grid timing. This would raise the cost of operating infrastructure and increase insurance premiums for space-based assets. - **WEAKEST LINK**: China may not retaliate directly; it might respond through diplomatic channels or cyber attacks instead of kinetic ones. The operation was described as "targeting" but may have been a passive observation, not an aggressive act. Also, the risk of debris is low if the manoeuvre was non-destructive. - **WHAT WOULD FALSIFY IT**: If China issues a statement downplaying the incident. If no debris is generated. If the US and China quickly agree on new rules of the road in space.

## 8. Building Your Knowledge

1. **"Sell the news" is a pattern, not a law.** When a stock runs up in anticipation of a big event (earnings, product launch, acquisition), the actual announcement often triggers a sell-off because the good news was already "priced in." Broadcom's 6.31% drop after a strong but not spectacular report is a textbook example. The lesson: the market doesn't reward you for being right; it rewards you for being more right than everyone else already was.
2. **Oil price spikes have asymmetric effects on the economy.** A $10 increase in oil prices reduces US GDP growth by about 0.3-0.5 percentage points in the short run, but the effect is smaller than it was in the 1970s because the US economy is less energy-intensive. However, the effect on consumer confidence (and thus spending) can be larger than the direct economic impact. Also, the US is now a net oil exporter, so a spike actually boosts the US trade balance. The net effect is complex and depends on consumer psychology.
3. **The AI buildout is a "tug of war" between three constraints: chips, power, and data.** Right now, chips are the bottleneck (Nvidia's GPUs are in short supply). But as chip production catches up, the bottleneck shifts to power (grid interconnection, renewable energy, cooling water). Then, as data centres come online, the bottleneck may shift to data (training data for new models). Investors who understand which bottleneck is "active" at any given time can rotate their positions accordingly. Today, power is becoming the active bottleneck (see Berkshire CEO's warning and the Missouri recall).
4. **Open-weight models are a structural threat to closed-model pricing.** Tencent's Hy4, released under Apache 2.0, performs comparably to a much larger closed model (Kimi K3) at a fraction of the cost. This pattern — open models catching up to closed ones — is accelerating. The economic implication: in the long run, the market for AI inference will be commoditised, and the profits will go to the infrastructure layer (hardware, networking, power) rather than the model layer. This is why Nvidia is buying Hugging Face: to own the distribution, not just the hardware.
5. **The SCO is not "Eastern NATO."** It lacks the mutual defence clause that makes NATO a binding alliance. Instead, it's a forum for China, Russia, and Central Asian states to coordinate on security and trade. The term "Eastern NATO" is media hype. Understanding the real structure of alliances is critical for geopolitics: not every bloc with a name is a binding military pact.

## 9. Foundations & Terms

## Concept Spotlight: The War-Risk Premium in Oil Markets

**What it is in plain words:** The war-risk premium is the extra amount added to the price of oil because of the possibility that a war or conflict will disrupt supply. It's a "fear premium" — it reflects uncertainty, not just current supply and demand.

**Why it exists:** Oil is a globally traded commodity that is sensitive to supply disruptions. The Strait of Hormuz (through which 20% of the world's oil passes) is the single most important chokepoint. When tensions rise in the Middle East, traders buy oil now to hedge against the risk that they won't be able to get it later. This drives up the spot price (price for immediate delivery) and the futures curve (prices for delivery in future months).

**A concrete worked example:** Before the Iranian drone strike on Kuwait, Brent crude was around $90 per barrel. After the strike, it jumped to $96, a $6 increase. Of that $6, perhaps $2 was due to actual supply concerns (the drone didn't hit any oil infrastructure) and $4 was a war-risk premium. If the situation de-escalates, the premium could disappear quickly, dropping the price back to $90. If the Strait of Hormuz is actually closed, the premium could become much larger — $20-30 per barrel.

**How it shows up in the news today:** "Brent oil price above $96 per barrel after Iran fires missiles at Kuwait" (source 82). The war-risk premium is the reason the price jumped even though no oil production or shipping was actually hit.

**Rough benchmarks worth remembering:** - The historical average war-risk premium in the Middle East is about $5-10 per barrel during tensions. - During the 2019 Abqaiq attack, Brent spiked 15% ($8) in a day, then retraced within weeks. - During the 1990 Gulf War, the premium was about $15-20 per barrel. - The Strait of Hormuz closure, if it happened, would add $30-50 per barrel.

**Caution / common misconception:** The war-risk premium is not the same as the "geopolitical risk premium" that applies to all oil. It's a short-term, volatile component that can appear and disappear rapidly. Traders who buy oil based on the war-risk premium are making a bet on human decisions, not on supply and demand fundamentals. The premium can be wrong in both directions: it can overestimate the risk (as in 2019, when the premium vanished) or underestimate it (as in 1973, when the oil shock was much worse than expected).

## Concept Spotlight: The "Sell the News" Pattern

**What it is in plain words:** "Sell the news" is a market behaviour where a stock's price falls after the release of good news, because the good news was already expected and had been "bought into" (priced in) beforehand. The opposite pattern — "buy the rumour, sell the news" — is the full phrase.

**Why it exists:** Markets are forward-looking. Prices reflect expectations, not just current reality. When a company announces strong earnings, the stock often falls because the earnings were even stronger than expected, or because the guidance for the future was weaker. The "sell the news" pattern is most common when a stock has run up significantly in the weeks before the announcement.

**A concrete worked example:** Broadcom (AVGO) reported fiscal Q3 earnings. The actual results were strong — revenue grew 20% year-over-year, and the company gave a robust long-term outlook for AI chip sales. However, the stock fell 6.31% on the day. Why? Because investors had bid the stock up in anticipation of even better numbers. The "whisper number" (the unofficial expectation that traders talk about) was higher than the official consensus. When the company met the official consensus but missed the whisper number, the stock sold off.

**How it shows up in the news today:** "Broadcom gives strong earnings view, but stock falls" (source 42). "Broadcom guides to big numbers but investors wanted more" (source 50). The market reaction is the "sell the news."

**Rough numbers worth remembering:** - A stock that runs up 10-15% in the month before earnings will often drop 5-10% on the day of the earnings report, even if the results are good. - The pattern is most common in high-growth tech stocks, where expectations are hardest to calibrate. - Studies show that about 60% of earnings announcements are followed by a "sell the news" or "buy the news" pattern, with the market moving in the opposite direction of the headline.

**Caution / common misconception:** "Sell the news" does not mean the company is doing poorly. It means the stock was overvalued relative to the new information. It's a sign that the market's expectations were too high, not that the company is failing. Investors who buy after a "sell the news" drop are often rewarded if the company's fundamentals remain strong.

### Terms from Today's News

- **Recurrent depth / opaque recurrence**: A new AI reasoning technique where the model can loop back on its own reasoning steps, making its "chain of thought" harder to monitor. OpenAI is using it in Astra. It improves efficiency but reduces transparency.
- **Gigawatt (GW)**: A unit of power equal to 1 billion watts. One GW can power roughly 750,000 homes. Data centres are now being built in the 1-5 GW range, which is enormous.
- **Joint military orbital operation**: A coordinated manoeuvre by two or more countries' satellites in space, often for reconnaissance or anti-satellite purposes. The US-UK operation is the first publicly acknowledged one.
- **Apache 2.0 License**: A permissive open-source software license that allows anyone to use, modify, and distribute the software for any purpose, including commercial use, without having to pay royalties. It's the most business-friendly open-source license.
- **GGUF (GPT-Generated Unified Format)**: A file format for quantised (compressed) AI models that allows them to run on consumer hardware. It's the standard for local AI inference.
- **Model router**: A software system that automatically sends easy queries to a small, cheap model and hard ones to a large, expensive one, to reduce overall cost without sacrificing quality.
- **War-risk insurance**: A specialised insurance policy that covers ships against damage or loss caused by war, terrorism, or piracy. Premiums skyrocket when a chokepoint like the Strait of Hormuz becomes dangerous.
- **NIMBY (Not In My Back Yard)**: The opposition of local residents to new developments (like data centres) in their neighbourhood, often due to concerns about noise, visual impact, or property values. The Missouri recall is a NIMBY action against a data centre.
- **Core PCE**: The Fed's preferred measure of inflation, which excludes food and energy prices. It's used because food and energy prices are volatile and can distort the "underlying" inflation trend. The Fed targets 2% core PCE.
- **Hyperscaler**: A large cloud computing company (Amazon, Microsoft, Google, Meta, Apple) that operates massive data centres and provides infrastructure-as-a-service. They are the primary customers for AI chips and data centre equipment.

## 10. Bottom Line

The world is at a dangerous intersection: an escalating Iran-Israel conflict has pushed oil above $96, threatening to reignite inflation just as the Fed is debating whether to raise rates. On the AI front, Nvidia's $12.9B acquisition of Hugging Face marks a consolidation of the open-source AI ecosystem, while Broadcom's "sell the news" earnings suggest the market's expectations for AI infrastructure may be overheating. But the long-term buildout continues — the question is who captures the profits.

**What changed since the previous brief:** - **Iran-Israel-Kuwait escalation** — new, with a direct drone strike on Kuwaiti soil. Oil above $96 is a major shift. - **Nvidia-Hugging Face deal** — a $12.9B acquisition that changes the AI landscape. Not in previous brief. - **Broadcom earnings** — guidance disappointed, stock fell 6.31%. Previous brief had no Broadcom news. - **Fed's Waller signals patience** — contrasts with previous hawkish tone. The Fed is divided. - **SCO summit and orbital operation** — new geopolitical developments. - **Tencent Hy4 and K2-Horizon-MoVA** — new open-weight models challenging closed ones. - **Missouri data centre recall** — a sign of growing NIMBY pushback against the AI buildout.

## 11. Sources

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- MarketWatch — Snowflake's secret weapon: AI-powered coding assistant
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## AI & Infrastructure

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## Model & Research Watch

- The Elec — Tencent Hy4: 770B MoE, 1M context, open-weight
- Reddit r/LocalLLaMA — K2-Horizon-MoVA GGUF models available
- TechCrunch — OpenAI's recurrent depth technique alarms safety experts
- arXiv — EvalDetectBench: Measuring Evaluation Awareness
- Space — Saturn's mysterious 10-sided cloud structure
- Space — Scientists may have detected first direct evidence of dark matter

## What Builders Are Actually Using

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- GitHub — WebLLM: high-performance in-browser LLM inference
- Hugging Face — Give Your Coding Agents a Memory You Own

# Quick Check

1. **Why did Broadcom's stock fall 6.31% after reporting strong earnings and a robust long-term outlook?**
   A: Because the stock had run up in anticipation of even better numbers — the market was "pricing in" a beat that was even larger. This is the "sell the news" pattern.
2. **What is the "war-risk premium" in oil markets, and why did it increase this week?**
   A: It's the extra cost added to the price of oil due to the risk of supply disruption. It increased this week because an Iranian drone struck Kuwait, and the Strait of Hormuz (a critical chokepoint) is in a war-risk zone.
3. **How does Nvidia's acquisition of Hugging Face potentially change the open-source AI ecosystem?**
   A: Nvidia now owns the platform where 3 million+ models are hosted. It could steer developers toward Nvidia-compatible models, create premium tiers, or restrict access for competitors. The open-source community may fork the platform if they feel it's no longer neutral.

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